

SMC ENTERPRISE LIMITED
Minutes of the 108th Board Meeting

Board Meeting No.	Venue	Date & Time
108 (02/26)	Board Room, SMC Tower, 13 th Floor, Rd -17, 33 Banani C/A, Dhaka + online digital platform	February 25, 2026; 10:30 am

Participants: Board Members:

- | | |
|------------------------------|-----------------------|
| 1. Faruque Ahmed | Chairman of the Board |
| 2. Jahir Uddin Ahmed | Director |
| 3. Muhammed Ali | Director |
| 4. Siddiqur Rahman Choudhury | Director |
| 5. Rupali H. Chowdhury | Director |
| 6. M. Farhad Hussain | Director |
| 7. Aftab ul Islam | Director |
| 8. Nurul Alam | Director |
| 9. Toslim Uddin Khan | Director |
| 10. Riaz Ahmad Jaber | Director |

Syed Mohammad Zubeyr Ali, Company Secretary, was on leave. Thereupon, Tashdique Mannan, Manager, Board Secretariat & Company Matters, and Mahmudul Kabir Khan, Assistant Manager, Board Secretariat and Company Matters, SMC, were present to record the proceedings.

SMC EL Management Team:

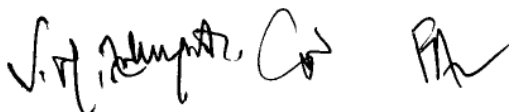
- | | |
|-------------------------|--|
| 1. Sayef Uddin Nasir | Managing Director |
| 2. Md. Feroze-Ul Alam | DMD, Operations |
| 3. Abul Bashir Khan | Chief Financial Officer |
| 4. Moinul Hossain | Chief Plant Operations Officer (Attended online) |
| 5. Rana Kaiser Ahmed | General Manager, HR & Admin (Attended online) |
| 6. Chandra Nath Mandal | General Manager, Sales (Attended online) |
| 7. Monzur Hossain | GM, Supply Chain Management (Attended online) |
| 8. Giash Uddin (Faisal) | General Manager, ICTD (Attended online) |

SMC Management Team:

- | | |
|-----------------------|--|
| 1. Tapan Bala | Chief Financial Officer |
| 2. M. Moshir Rahman | General Manager, PI (Attended online) |
| 3. Md. Feroz Iftekher | Additional GM, Internal Audit & Compliance |

Written notice of the Board meeting and the Board working papers were sent to the Directors at their registered mailing addresses. All the Board Members were present except Mr. Syed Nasim Manzur, who notified of his leave of absence to the Company Secretary earlier.

The Quorum was present as per Clause 78 of the Articles of Association of the Company. The Chairman welcomed all the participants and called the meeting to order.



At the outset, the Chairman of the Board, on behalf of all the Board Members, welcomed to the Board the newly inducted Board Members, viz., Engineer Riaz Ahmad Jaber and Mr. Nurul Alam. He expressed the hope that the new Board members, with all their experience, would add much value and contribute to the Board during their tenure as Board Members.

Agenda – 1:

To confirm the minutes of the 107th Meeting of the Board of Directors

The minutes were circulated. The Board, after discussion has decided the following:

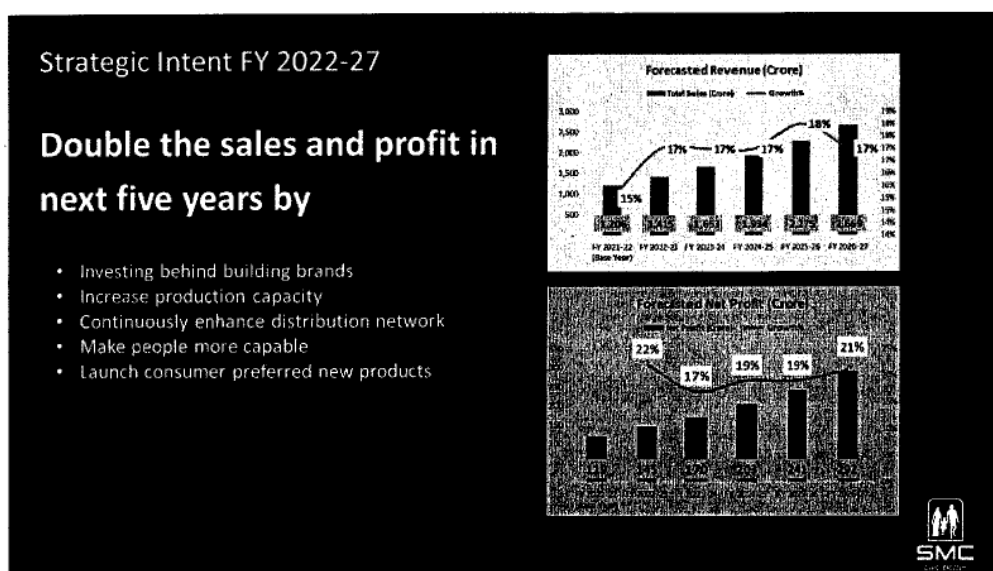
Decision:

1. The Minutes of the 107th Meeting of the Board of Directors of SMC EL were confirmed and adopted with certain edits and corrections suggested by the Board Members.
2. The Board further advised the Management to bring any correction/edits in the future Board Meeting Minutes under the heading, 'Matters Arising out of the Minutes of the Previous Meeting.'

Agenda – 2:

To review the Strategic Plan of the Company for the period 2022-2025

The Management presented the review of the Strategic Plan during the period July 2022– June 2025. The presentation highlighted the financial variance analysis, interim initiatives. The highlights of the presentation of the same are stated below:



[Handwritten signatures]

The financial aspect of the review of the strategic plan as well as the variance analysis with the actual and Strategic Plan for FY 2022-25 was presented by the Chief Financial Officer of the Company, which is tabled herein under:



Financials Evolution FY 22/23 → 24/25

Figure In Crore

As On 30th June, 2025

Figures in crore BDT

Item Head	FY 2021-22		FY 2022-23		FY 2023-24		FY 2024-25		CAGR FY 22/23-24/25	
	Actual	Strg. Plan	Actual	Strg. Plan	Actual	Strg. Plan	Actual	Strg. Plan	Strg. Plan	Actual
Sales Revenue	1,211.3	1,415.3	1,600.7	1,653.1	1,755.8	1,933.9	1,969.0		17%	18%
Net Sales Value	1,083.7	1,271.6	1,436.4	1,487.5	1,578.1	1,742.3	1,765.0		17%	18%
Cost of Goods Sold (COGS)	626.2	689.1	885.8	798.3	975.0	927.6	1,079.3		14%	20%
Gross Profit	457.5	582.5	550.6	689.2	603.1	814.7	685.8		21%	14%
Advertisement & Promotion (A&P) Expenses	95.4	128.4	126.6	156.4	144.0	183.3	166.1		24%	20%
Operating Expenses	290.9	367.5	371.3	437.1	412.7	513.3	475.2		21%	18%
Operating Profit	166.6	215.0	187.5	252.1	190.4	301.4	210.6		22%	8%
Non Operating Expenses	3.3	3.5	(12.1)	3.9	(20.0)	4.3	(11.7)		9%	-253%
Net Profit After Tax & WPPF	117.0	145.3	117.2	170.2	109.2	203.3	130.3		20%	4%
Ratios										
COGS as a % on Net Sales Revenue	57.8%	54.2%	61.7%	53.7%	61.8%	53.2%	61.1%			
Gross Profit as a % on Net Sales Revenue	42.2%	45.8%	38.3%	46.3%	38.2%	46.8%	38.9%			
A&P Expenses as a % on Net Sales Revenue	8.8%	10.1%	8.8%	10.5%	9.1%	10.5%	9.4%			
Operating Expenses as a % on Net Sales Revenue	26.8%	28.9%	25.9%	29.4%	26.2%	29.5%	26.9%			
Operating Profit as a % on Net Sales Revenue	15.4%	16.9%	13.1%	16.9%	12.1%	17.3%	11.9%			
Net Profit as a % on Net Sales Revenue	10.8%	11.4%	8.2%	11.4%	6.9%	11.7%	7.4%			



Variance Analysis with Actual and Strategic Plan for FY2022-2025

Cost of Goods Sold:

a) US Dollar Exchange Rate

Cost of Goods Sold (COGS) increased significantly due to the devaluation of BDT against the US dollar in FY 2022-23 (from BDT 85 to BDT 117). The devaluation continued in FY 2023-24 (from BDT 117 to BDT 123), further impacting material and import costs.

b) Imposition of Additional Duty

The government imposed additional duties on aluminum foil used for ORSaline (CD = 20%, SD = 20%, RD = 3%). As a result, the cost per sachet increased by BDT 0.15.

c) Increase in Material Prices

Sugar prices increased by 113% in FY 2022-23. Annual sugar consumption during that year exceeded 5,000 MT, which resulted in an additional impact of BDT 35 crore on COGS.

Due to the above three major factors, the percentage of COGS to net sales increased from 54.2% to 61.7% in FY 2022-23. After FY 2022-23, this percentage did not change significantly.

Operating Expenses:

Operating expenses were well controlled over the last three years compared to the strategic plan. In FY 2023-24 and FY 2024-25, actual operating expenses were lower than the strategic plan by BDT 24 crore and BDT 38 crore, respectively. However, in FY 2022-23, operating expenses slightly exceeded the strategic plan by BDT 4 crore.

Despite these fluctuations, we successfully accommodated relevant program expenses, common costs for both the companies service departments on engagement basis, including Internal Audit, ICT, and Engineering, during this period.

Non-Operating Expenses:

Due to the US dollar shortage, we were compelled to finance all foreign purchases through UPAS L/C. Consequently, we incurred significant interest expenses on UPAS financing, along with foreign currency exchange losses.

The accumulated finance costs were as follows:

FY 2022-23: BDT 22 crore

FY 2023-24: BDT 31 crore

FY 2024-25: BDT 32 crore

[Handwritten signatures]

The Management also made the following presentation for delivering net profit growth to the Company, as tabled below:



Interim Initiatives to bring EL Net Profit growth to $\approx 20\%$

People	Process	Technology
▶ Outcome based Performance Evaluation system has been implemented (BSC, OKR) ▶ Salary Survey Dec-25 ▶ Proposal to BC PP&A Mar-26 ▶ Performance-Driven Salary Proposal for Management is under review (Fixed, Performance incentive)	▶ Sales Transformation projects are in rollout phase to improve multi-product sales capability ▶ Consumer & OTC Brands categorized under 4 verticals (SBU like) to track individual P&L ▶ Procurement Manual Updated ▶ 80% value contribution focus implemented across procurement, SKU management ▶ Product Lifecycle management implemented ▶ Online Management Approval	▶ ERP (SAP) implementation to drive transparency, efficiency across divisions ▶ Realtime MIS (Fin, SCM) ▶ VAT Processing ▶ Integration with SCB ▶ Microsoft 365 implementation to drive cross functional collaboration



Accelerate Growth thru

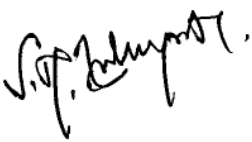
People	Process	Technology
▶ Transition to a performance-driven culture ▶ True Empowerment thru "Who not How" matching the right person for the right job	Work smarter by: 1. Questioning the merit of Everything we do 2. Delete Any Part or Process we Can 3. Simplify and Optimize 4. Accelerate Cycle Time 5. Automate	▶ Augment SAP ERP usage to improve decision making quality & time ▶ Leverage Microsoft 365 capabilities to business process automation

Discussion Items of the Board Members:

- The Board noted that Sales Revenue and Net Sales Value demonstrated consistent growth over the review period, broadly aligning with the projected CAGR (Compound Annual Growth Rate) under the Strategic Plan. The topline growth reflects sustained market demand and continued expansion of business activities. However, the bottom line achievement is significantly lagging; the Management attributed this due to external macroeconomic factors beyond management control, viz. accelerated devaluation of BDT, increase of import tax on raw materials, etc. The Board emphasized that future strategic focus should gradually shift from volume-driven growth toward contribution-driven and margin-optimized growth.

[Handwritten signatures]

- The Board acknowledged that Management demonstrated resilience in navigating significant macroeconomic headwinds, including currency devaluation, regulatory changes, and commodity price volatility.
- The Board observed that in the subsequent financial years, the COGS ratio stabilized around 61%, indicating that corrective cost management measures adopted by Management had begun to yield results, although margin recovery remained gradual.
- During deliberations, the Board observed that beyond achieving Net Sales Value targets, Management should focus on absorption of net contribution after deducting COGS, rather than fully passing on increased costs to consumers. The Board emphasized the importance of maintaining affordability while strengthening internal efficiency to protect contribution margins. A balanced pricing strategy considering consumer sensitivity, competitive positioning, and sustainability of margins was discussed.
- In relation to Operating Expenses, the Board noted that expenses were largely controlled throughout the review period. Although a slight deviation from the Strategic Plan occurred in FY2022–23 due to new program initiatives and shared departmental costs (Audit, ICT, Engineering), OPEX performance in FY2023–24 and FY2024–25 remained within or below planned projections. The declining trend of OPEX as a percentage of Net Sales reflects improved operational discipline and cost management.
- The Board further reviewed Non-Operating Expenses and noted a significant increase during the period under review, particularly due to interest costs associated with UPAS/L/C financing and foreign exchange losses arising from USD appreciation. These factors materially affected net profitability despite stable operating performance. The Board emphasized the need to strengthen treasury management, explore risk mitigation mechanisms, and reduce exposure to foreign currency volatility.
- The Board discussed the need to rethink the dividend payout amount in order to sustain programmatic activities.
- The Board noted Management's view that e-commerce currently contributes nationally to only around 5% of total consumer sales and associated operational challenges.
- In connection with ORSaline Growth Strategy, the Management shall take necessary steps to accelerate revenue growth of ORSaline and enhance its contribution to the overall revenue basket.
- Regarding Competitive Market Analysis, the Management shall conduct a detailed competitor analysis in the consumer goods market and formulate strategies to strengthen brand investment and competitive positioning.
- Management shall take concrete steps to expand the distribution network.
- Management shall continue to explore opportunities for exports into foreign markets.
- Management shall proactively evaluate opportunities for product diversification both within & beyond existing categories where SMC has a competitive advantage.



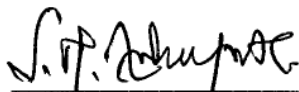


Decision:

After detailed deliberations, the Board arrived at the following decisions:

1. **Pricing and Cost Strategy Review:** Management shall review product pricing and strengthen cost reduction measures as part of a comprehensive re-strategization plan to improve net profitability.
2. **Strategic Performance Presentation:** Management shall present, in the next Strategic Plan review meeting, a detailed breakdown of product mix growth, price impact, and volume growth.
3. **Dividend Policy Review:** Management shall examine the impact of double taxation on the dividend policy and submit findings with recommendations to the Board.
4. **SAP System Rectification:** Management shall continue to identify improvement areas and address all glitches in the SAP system, ensure compliance with contractual deliverables from the SAP vendor, conduct a performance analysis, and present findings to the Board.
5. **Pharma Strategic Review Meeting:** Management shall convene a dedicated meeting on the Pharma component of the Strategic Plan as per the earlier Board directive.
6. **Next Strategic Plan (2027–2032):** SMC and SMC EL shall jointly draft the Strategic Plan for 2027–2032, keeping the targeted revenue milestone of Tk. 5,000 crore by 2030. Management may approach the Board for necessary resources in this regard.
7. **Target Projections (2025–26 and 2026–27):** Management shall clearly present detailed target projections in the Strategic Plan for the next two years (2025–26 and 2026–27) considering the volume growth, product mix and pricing, including a comparative analysis with the performance of previous years.
8. **Third-Party Quality Assurance:** Management shall engage accredited third-party, subject to availability, laboratories to conduct periodic quality testing verification of FMCG products.

Having no other business to transact, the meeting ended with a vote of thanks to and from the Chair.



Syed Mohammad Zubeyr Ali
Company Secretary



Sayef Uddin Nasir
MD, SMC EL



Faruque Ahmed
Chairman, SMC EL Board